

1. Bargaining Power of Buyers

Buyer power in an industry is influenced by several key factors. Firstly, the size of buyers compared to the companies serving them plays an important role, as larger buyers have more leverage to negotiate on favourable terms or lower prices. If products within the industry are not differentiated, buyers can easily switch between competitors without sacrificing much in terms of quality or features, which gives them more bargaining power.

 Negotiation Power



Large Buyer

Can Switch Easily

2. Bargaining Power of Suppliers

Suppliers have significant power when they provide inputs that is important for the operations of the industry. If there are limited alternatives or substitutes for these inputs, suppliers can charge higher prices. When there are only a few suppliers available for a particular input, they have more bargaining power.

 Demand High Price

 Impose Unfavorable Terms



Few Suppliers